



TPG's Acquisition of Samhwa

Oct 4, 2024



FCRC Fall 2024, Team Atlantis
Jiwon Heo

Table of Contents

I. Industry Overview

1. Cosmetic Container Industry
2. Competitive Landscape

II. Company Overview

1. Standard Company Overview
2. Business Overview
3. TPG Capital's Deal Overview

III. Investment Highlight

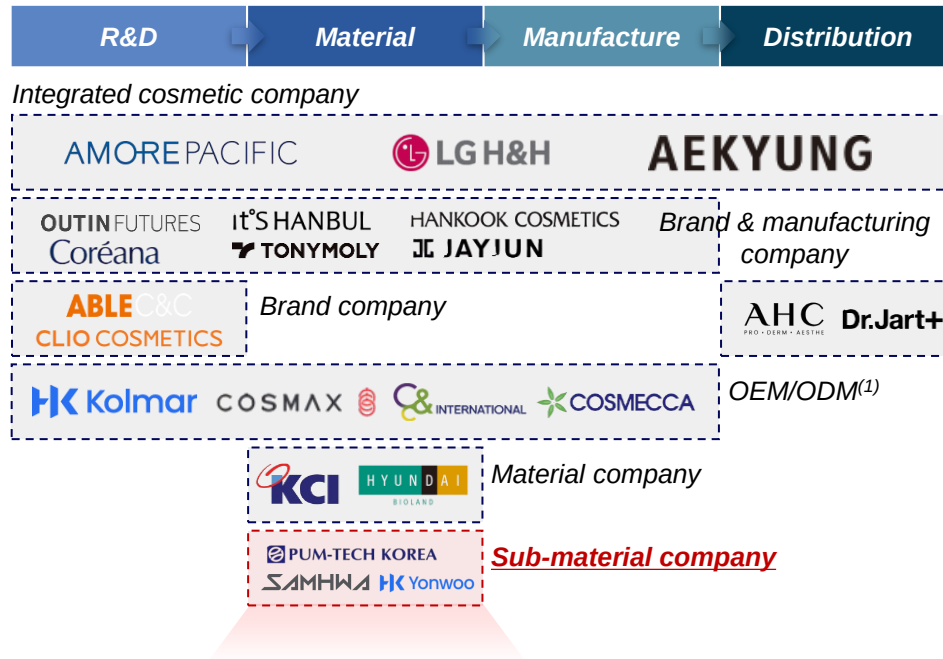
1. Massive Demand Creation by Downstream Expansion
2. Global Presence with Solidified Overseas Client Base
3. The Only All-in-House Container Manufacturer

I. Industry Overview

1. Cosmetic Container Industry
2. Competitive Landscape

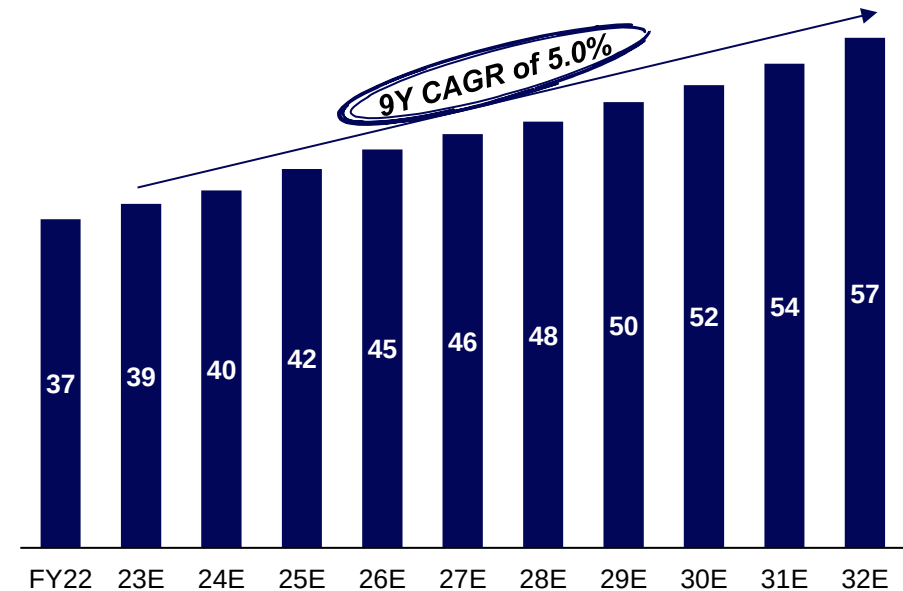
Global cosmetic container market is projected to reach US\$57bn by 2032, driven by the stable expansion of its downstream cosmetics industry

Value chain of cosmetic industry



Cosmetic packaging market size⁽²⁾ and growth factors

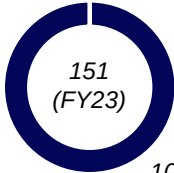
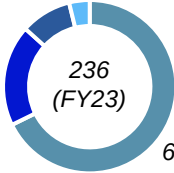
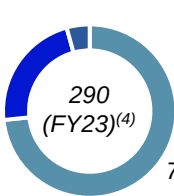
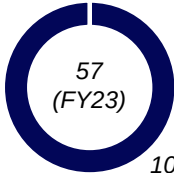
(US\$bn)



Price	×	Increasing willingness to pay, supported by growing importance in the packaging design & functions of containers including the green packaging
Quantity		- Solid performance in downstream, backed by soaring interests in health & beauty products - Robust growth of domestic market with increasing demand in K-cosmetics

Competitive Landscape

Domestic cosmetic container industry exhibits an oligopolistic structure, with the top 4 players controlling a combined 74.3% market share

Company	Key metrics ⁽¹⁾ (KRWbn)	Revenue (KRWbn)	Main clients	Business description
	- Revenue: 151 - EBIT: 14 - EBITDA: 16 - Net income: 9 - M/S⁽²⁾: 16.0%	 151 (FY23) 100.0%		#3 player in domestic cosmetic container market - Unrivaled performance in plastic containers based on internalized manufacturing process
	- Revenue: 236 - EBIT: (0) - EBITDA: 17 - Net income: (9) - M/S: 24.1%	 236 (FY23) 67.7%		#2 player in domestic cosmetic container market, backed by its parent company of HK Kolmar and strategic partnership with PKG group
	- Revenue: 284 - EBIT: 35 - EBITDA: 47 - Net income: 29 - M/S: 28.3%	 290 (FY23)⁽⁴⁾ 73.4%		#1 player in domestic cosmetic container market backed by its broad product line up and solid domestic client base
	- Revenue: 57 - EBIT: 1 - EBITDA: 1 - Net income: 0 - M/S: 6.0%	 57 (FY23) 100.0%		#4 player in domestic cosmetic container market - Stable performance grounded in its relative company, TONYMOLY

II. Company Overview

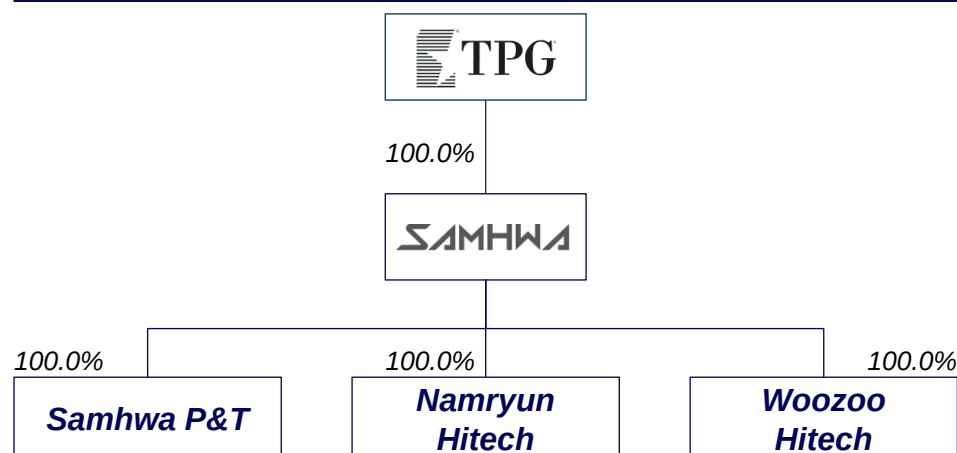
1. Standard Company Overview
2. Business Overview
3. TPG Capital's Deal Overview

Samhwa is a leading cosmetic container company specialized in plastic products, supported by its sound fundamental in global networks

Company profile

- Founded in 1977, Samhwa has initiated its business of plastic container
- The company owns its own cosmetic container brand named mazel, launched in 1993
- Its all-in-house system, engaging in the whole manufacturing process of the cosmetic container, is the core of its solid performance
- Based on its segmentation of Samhwa P&T (mold) – Samhwa (injection) - Namryun Hitech (post-processing), the company has broadened its customer base to overseas including L'Oreal, LVMH, and Estée Lauder
- The company has been focusing on new products regarding ESG issues while expanding its strength in face-make up/dispenser pump containers
- TPG Capital has acquired the 100.0% stake of the company, which had been originally owned by the management (Cho Sung Hwan)

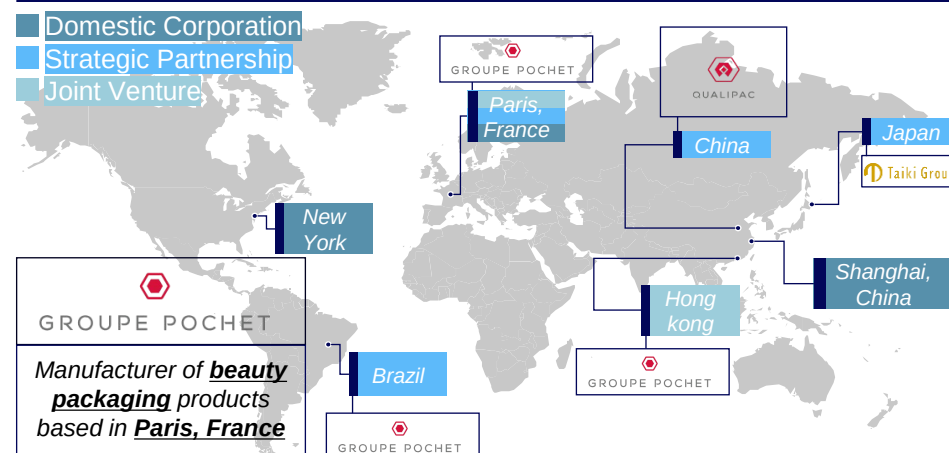
Governance structure



Key financials

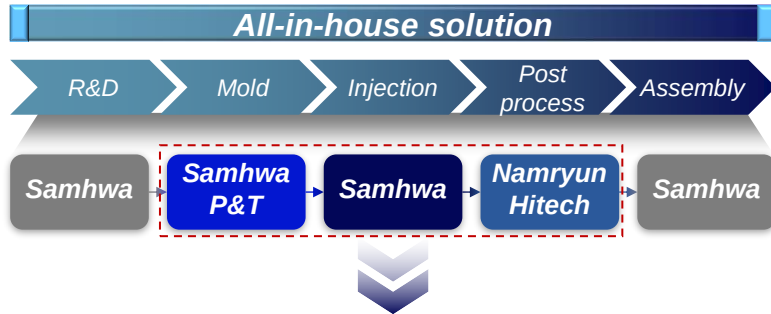
(KRWbn)	FY20	FY21	FY22	FY23	LTM1H24
Revenue	105	90	105	135	151
<i>Growth (%)</i>	0.5%	(14.1%)	16.5%	28.4%	12.1%
Gross Profit	15	14	17	26	26
<i>Margin (%)</i>	14.6%	15.6%	16.2%	19.1%	17.0%
EBITDA	9	9	12	20	16
<i>Margin (%)</i>	8.7%	9.7%	11.5%	15.1%	10.8%
EBIT	8	7	11	19	14
<i>Margin (%)</i>	7.8%	8.2%	10.1%	13.9%	9.3%
Net Income	7	5	8	14	9
<i>Margin (%)</i>	6.8%	6.0%	7.6%	10.6%	6.0%
Total Assets	65	76	88	98	231
Total Liabilities	23	28	32	28	34
Net Debt	(14)	(5)	(7)	(15)	(54)

Global network

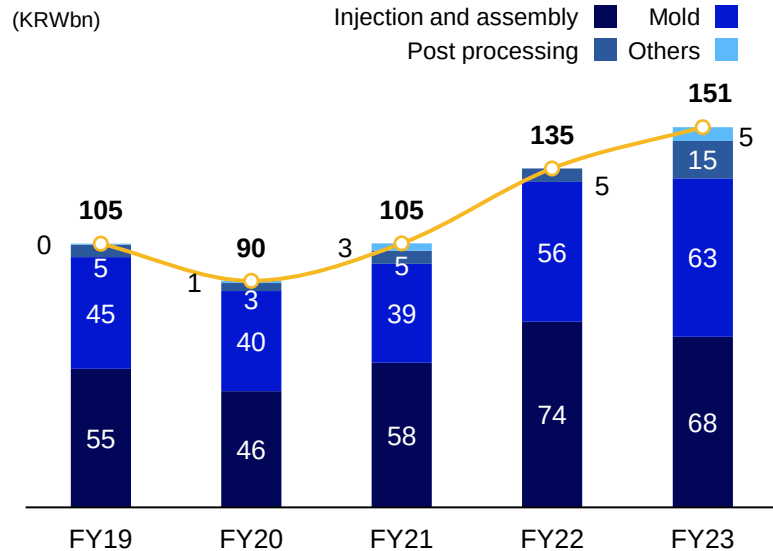


Samhwa has fully internalized its manufacturing process, resulting in a broad product lineup and its competitive edge in the compact makeup product segment

Business segments



Economic value⁽¹⁾ by the manufacturing process



Source: DART, Company filings

Notes: (1) Estimated by the related party transaction data; (2) Logo with flower for Shiseido

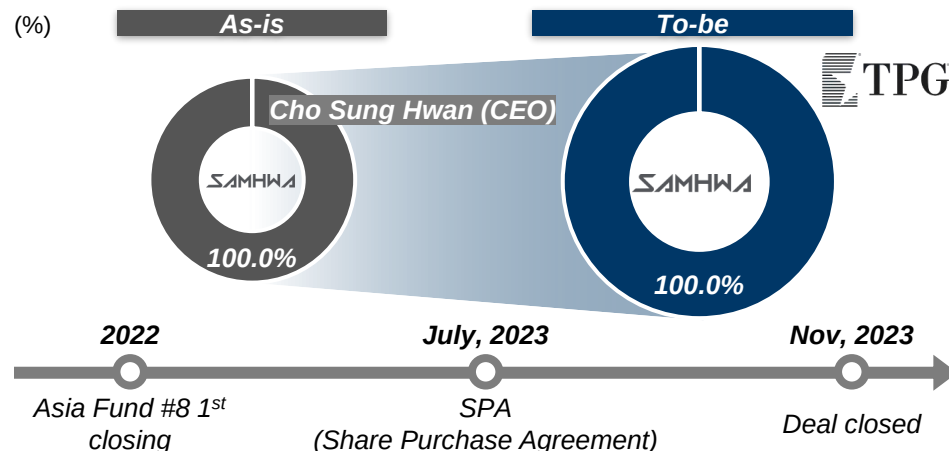
Product line up

	Face make up (cushion)	Airless bottle	Blow
Product	- Samhwa's main product → around 50% of revenue - Liquid substances in compact-type cushions	Containers for storing and dispensing liquid substances of various viscosities using a pump	- Made by Heavy blow technique - Unbreakable glass-like effect using plastic
Main clients ⁽²⁾			
	Point make up	Jar Type	Sun stick
Product	- Color cosmetic packaging for Lip, and Eye etc - Utilizing airless function, contents protection	- Suitable for formula with high viscosity - Using the pump to prevent contamination of contents	- Suitable for Sun-care product using packaging - Utilizing the air-tight function
Main clients ⁽²⁾			

TPG Capital's Deal Overview

TPG Capital, which acquired 100.0% stake of Samhwa by KRW300bn with implied EV/EBITDA of 12.1x, aims to expand Samhwa's business in alignment with its existing beauty industry portfolios

Deal structure⁽¹⁾



Share acquisition	100.0%	
Acquisition price	KRW300bn	
Multiple ⁽²⁾	Implied equity value	KRW300bn
	Implied enterprise value	KRW246bn
	EV/Sales	1.8x
	EV/EBITDA	12.1x
	PER	21.0x
	PSR	2.2x

Buy-side rationale

1 Business expansion along with cosmetic portfolios in TPG

- TPG has various cosmetic portfolios represented by **Anastasia Beverly Hills**, which it has acquired in FY18 by 40% of shares
- Rodan + Fields** and **e.l.f cosmetic** are also included in its portfolios

2 Wide range of feasible exit options

- Strategic investors are actively participating** in K-cosmetic deals aiming to integrate the entire value chain or acquire other powerful brands

Case1



Case2



Sell-side rationale

1 High growth with solid financial support of TPG Capital

- Attractive exit** option for the management (Cho Sung Hwan) considering that stronger financial capability is needed for Samhwa's business expansion
- Mr. Cho has agreed to **reinvest in TPG's PEF** after the deal while expecting the strong performance with TPG's financial support and other cosmetic portfolios in TPG

Cho Sung Hwan

Reinvest in TPG's Fund
after acquisition

Signature Korea
Co., Ltd.

III. Investment Highlight

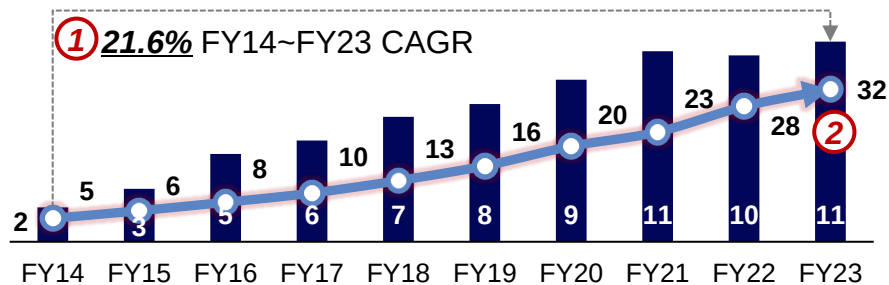
1. Massive Demand Creation by Downstream Expansion
2. Global Presence with Solidified Overseas Client Base
3. The Only All-in-House Container Manufacturer

Massive Demand Creation by Downstream Expansion

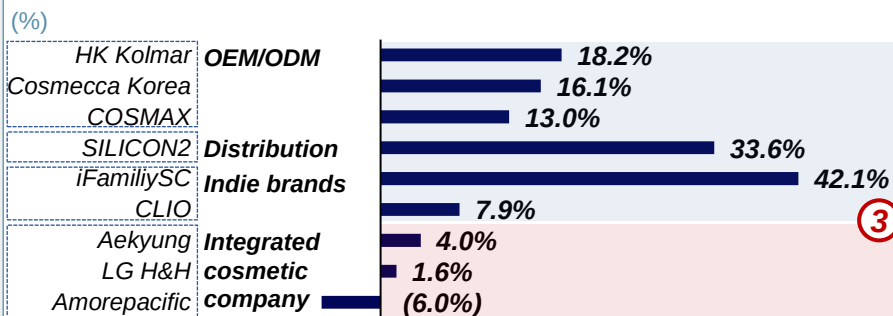
Cosmetic container industry demonstrates solid growth, underpinned by overseas expansion and segmentation within its downstream sector

3 major trends in domestic cosmetic industry

Cosmetic export & # of cosmetic distributors (KRWtrn, CompaniesK)



Domestic cosmetic players' 7Y CAGR (FY16~FY23) in its revenue (%)



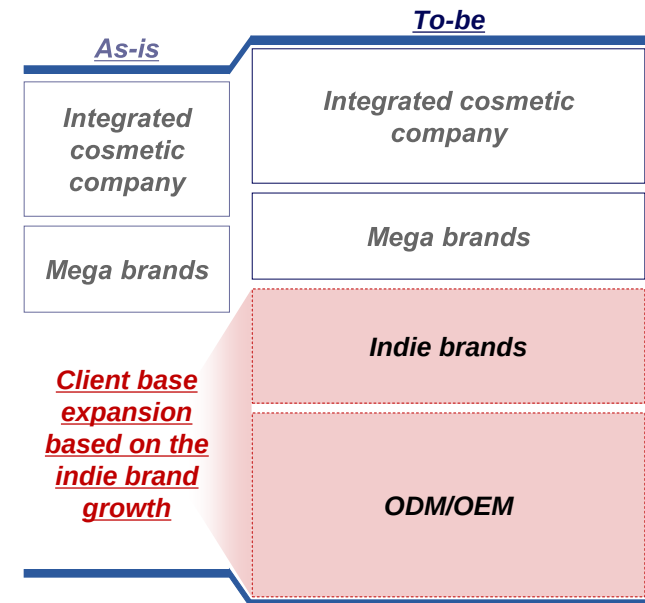
- ① Expansion based on K-cosmetics trend
- ② Emergence of Indie brands based on the demand diversification
- ③ Emerging new players specialized in a specific value chain

Growth factors in the cosmetic container industry



- **Increasing ASP driven by downstream expansion** based on the rapid growth of K-cosmetics
- **Higher bargaining power of suppliers** due to increasing #of clients, with rapid penetration of indie brands

Client base change



Quantity



#of clients

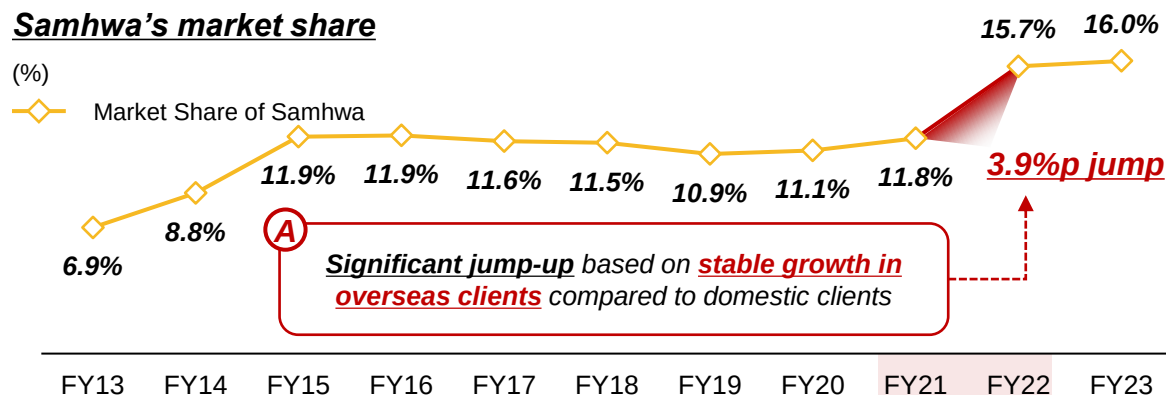
Average Q

- **Stable average ordering quantity** per clients, backed by solid performance of downstream players considering higher interest in K-cosmetics

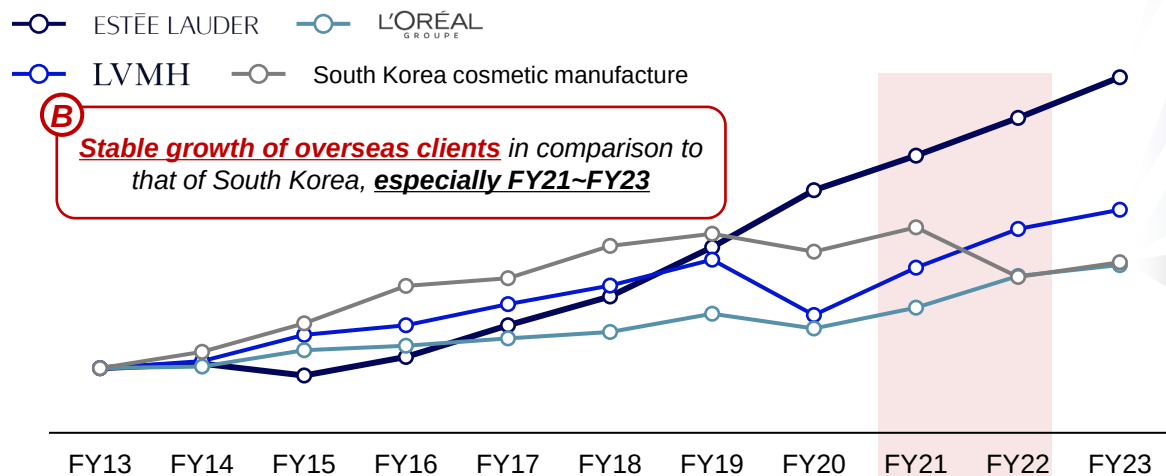
Samhwa has achieved rapid market share growth in the domestic market, supported by its well-established overseas client base

Samhwa's solid performance backed by overseas clients

Samhwa's market share



Performance in cosmetic business of Samhwa's overseas clients⁽²⁾



Performance details of overseas clients

	Revenue (FY23) (cosmetic)	10Y CAGR (FY13~FY23)
ESTÉE LAUDER	KRW10bn	12.5%
LVMH	KRW12bn	8.3%
L'ORÉAL GROUPE	KRW43bn	6.0%
South Korea	KRW15bn	6.2%

- In FY21~FY22, Samhwa shows **significant expansion (A)** based on **overseas clients' stable growth (B)** and **considerable business size (C)**

3 The Only All-in-House Container Manufacturer

By internalizing its end-to-end manufacturing process, Samhwa has enhanced its ability to efficiently manage various demands of clients

Samhwa's all-in-house manufacturing process and its impact

Rank	Revenue ⁽¹⁾ (m/s) ⁽²⁾	Manufacturing process			
		Mold	Injection	Post process	Assembly
	Top #3				
SAMHWA	KRW151bn (16.0%)	Internalized	Internalized	Internalized	Internalized
The "ONLY" all-in-house manufacturer in domestic container market					
 PUM-TECH KOREA YOUR INNOVATION PARTNER	KRW284bn (28.3%)	Internalized	Outsourcing & purchase		Internalized
HK Yonwoo	KRW236bn (24.1%)	Internalized	Out sourcing	Internalized	Internalized

Best positioned as consolidated manufacturer

Impact on its business

1 Quick reaction to client's demands



2 Quality control



3 Cost efficiency



4 Broad client coverage



SAMHWA



Fast respond to clients' demands on designs and functions, **especially for indie brand clients** whose businesses are expanding



Higher level of quality control based on its united manufacturing process, with consistent production management system



Efficient business operation especially in the case of customized containers for clients



Extensive client coverage grounded in the adaptability of all-in-house manufacturing systems



Finance Case Research Club
Team Atlantis